Mock B · Paper 2: Wrong-Answer Notes

CFA Level II · 19 wrong answers, one per page

25 / 44

Paper 2 (57%)

Score by topic

Topic	Score	%
Econ	1/4	25%
Ethics	1/4	25%
Quant	2/4	50%
PM	2/4	50%
Equity	2/4	50%
FSA	5/8	62%
FI	5/8	62%
Alt	3/4	75%
Deriv	4/4	100%

Questions at a glance

Q	Topic	You	Ans
Q1	FSA	A	B
Q3	FSA	A	B
Q5	Quant	C	A
Q6	Quant	B	A
Q10	Econ	B	C
Q11	Econ	C	A
Q12	Econ	B	C
Q15	PM	B	C
Q16	PM	B	C
Q18	FI	C	A
Q20	FI	A	B
Q21	FSA	C	B
Q25	Equity	C	A
Q26	Equity	C	B
Q32	FI	A	B
Q38	Alt	A	B
Q41	Ethics	A	C
Q42	Ethics	C	B
Q43	Ethics	C	A

Mock B · Paper 2 · Q1 You **A** · Answer **B**

FSA

VIGNETTE (RELEVANT PART, UNEDITED)

Tay collects components of Buttery's net sales growth from various markets of the most recent year in Exhibit 1.

Exhibit 1

Market	Volume Growth	Price Growth	Foreign Currency Exchange
Thailand	5%	0%	4%
Malaysia	4%	5%	–4%
Hong Kong SAR	–4%	8%	0%

Question 1. The market with the highest sustainable sales growth rate is:

OPTIONS

A	Thailand.	✗ Your pick	Incorrect: Thailand's organic growth is only 5% + 0% = 5%; 4% came from exchange rates, which is less sustainable.
B	Malaysia.	✓ Correct	Sustainable growth comes from volume and price, not exchange rates. Malaysia: 4% + 5% = 9%, above Thailand (5%) and Hong Kong SAR (−4% + 8% = 4%).
C	Hong Kong SAR.		Incorrect: Hong Kong SAR's volume and price growth is −4% + 8% = 4%, lower than Malaysia's 9%.

Trigger “Volume Growth | Price Growth | Foreign Currency Exchange”
“highest sustainable sales growth rate”

Rule next time: Sustainable sales growth = volume + price; the foreign-exchange part is not sustainable.

Key line: Malaysia 4 + 5 = 9%; Thailand 5 + 0 = 5%; Hong Kong −4 + 8 = 4%.

Mock B · Paper 2 · Q3 You **A** · Answer **B**

FSA

VIGNETTE (RELEVANT PART, UNEDITED)

Creamy Meadows is a subsidiary of Buttery. Creamy began operations in Indonesia on 1 January of the most recent year and uses the Indonesian Rupiah (IDR) as its functional currency. Buttery uses the temporal method to translate Creamy's financial results. For the most recent year, Creamy had a net monetary liability and the IDR strengthened against the USD. Tay believes that the translation method may distort the financial and operating measures of the international subsidiary. To verify this, Tay compares Creamy's translated ratios to the ratios calculated under the local currency by using the exchange rates of the most recent year in Exhibit 2

Exhibit 2

Date	IDR per USD (Amount of IDR per 1 USD)
1 January of the most recent year	15,000
Average for the most recent year	14,700
Weighted average rate when inventory was purchased	14,700
31 December of the most recent year	14,000

Question 3. Which of the following ratios for Creamy most likely remains unchanged after translation for the most recent year?

OPTIONS

A	Current ratio	✗ Your pick	Incorrect: current assets include inventory translated at the historical rate (14,700) and monetary items at the year-end rate (14,000), while liabilities are at 14,000, so the ratio changes.
B	COGS to sales ratio	✓ Correct	Under the temporal method sales are translated at the average rate and COGS at the rate when the inventory was purchased; both are 14,700, so the translated ratio equals the local-currency ratio.
C	Sales to receivables ratio		Incorrect: sales use the average rate (14,700) and receivables the year-end rate (14,000), so the ratio changes.

Trigger “Buttery uses the temporal method”
“Weighted average rate when inventory was purchased | 14,700”
“Average for the most recent year | 14,700”

Rule next time: Temporal method: monetary items at the current rate, inventory/COGS at historical rates, sales at the average rate. A ratio is unchanged only if numerator and denominator are translated at the same rate (COGS ÷ sales: 14,700 for both).

Key line: COGS (14,700) ÷ sales (14,700): same rate.

Mock B · Paper 2 · Q5 You **C** · Answer **A**

Quant

VIGNETTE (RELEVANT PART, UNEDITED)

Danny Aoun is an equity portfolio manager at Betterflow Investments. He is developing sentiment indicators for forecasting stock price movements. Aoun gathers textual data from the internet to build machine-learning models. He extracts raw content from a variety of online sources and then trains the models for sentiment prediction. Each text item is labelled as either positive sentiment or negative sentiment. Aoun is more concerned about the models producing false negatives than false positives. He computes selected performance metrics for three models using confusion matrices and presents the metrics in Exhibit 1.

Exhibit 1

Model	Precision	Recall	F1 Score	Accuracy
X	0.87	0.94	0.90	0.88
Y	0.93	0.90	0.91	0.92
Z	0.96	0.82	0.88	0.86

Question 5. Which machine-learning model should Aoun choose given his concern about false negatives?

OPTIONS

A	Model X	✓ Correct	Recall (correctly predicted positives / all actual positives) is the metric to use when false negatives are costly. Model X has the highest recall (0.94).
B	Model Y		Incorrect: Model Y has the highest accuracy and F1 score, which weight false positives and false negatives equally.
C	Model Z	✗ Your pick	Incorrect: Model Z has the highest precision, which matters when false positives are costly.

Trigger “more concerned about the models producing false negatives”
“Precision | Recall | F1 Score | Accuracy”

Rule next time: False negatives costly → highest RECALL (TP ÷ (TP + FN)); false positives costly → precision; equal weight → accuracy or F1.

Key line: Recall: X 0.94 > Y 0.90 > Z 0.82.

Mock B · Paper 2 · Q6 You **B** · Answer **A**

Quant

VIGNETTE (RELEVANT PART, UNEDITED)

For Bytewave, Aoun estimates a first-order autoregressive model (AR(1)) on the stock price. From the results, he concludes that the time-series model exhibits autoregressive conditional heteroskedasticity and has ARCH(1) errors.

Question 6. Based on Aoun's conclusion regarding the time-series model for Bytewave, the variance of the error term is:

OPTIONS

A	not constant but predictable.	✓ **Correct**	With ARCH(1) errors the variance in period t + 1 depends on the squared error of period t, so it is not constant but predictable.
B	both constant and predictable.	✗ **Your pick**	Incorrect: ARCH errors have a non-constant variance.
C	neither constant nor predictable.		Incorrect: ARCH(1) makes the variance depend linearly on the previous squared error, so it is predictable.

Trigger “autoregressive conditional heteroskedasticity”
“ARCH(1) errors”

Rule next time: ARCH(1): the error variance depends on the previous period's squared error, so it is NOT constant but predictable.

Key line: $\text{Var}(\varepsilon_{t+1}) = a_0 + a_1 \cdot \varepsilon_t^2$.

Mock B · Paper 2 · Q10 You **B** · Answer **C**

Econ

VIGNETTE (RELEVANT PART, UNEDITED)

Team Green is asked to discuss how investment in physical capital, human capital, and technological development affects economic growth. As a summary of the discussion, Team Green presents a number of points including the following three:

Point 1: Since technology results in an upward shift in the production function, the relationship between economic growth and R&D spending is positive in the short run.

Point 2: Total factor productivity reflects the state of technology, and can be measured by the contribution of capital deepening plus the growth rates of labor productivity.

Point 3: Although long-term sustainable growth cannot rely on pure capital deepening, the impact of investment spending on available capital depends on the existing physical capital stock.

Question 10. Which of the points raised by Team Green is most likely correct?

OPTIONS

A	Point 1		Incorrect: the relationship between R&D spending and growth is not clear-cut in the short run (creative destruction can slow growth cyclically).
B	Point 2	✗ Your pick	Incorrect: labor productivity growth equals the contribution of capital deepening plus TFP growth, so TFP is not capital deepening plus labor productivity growth.
C	Point 3	✓ Correct	The impact of investment on available capital depends on the existing capital stock (large in developing countries), even though sustainable long-term growth cannot rely on capital deepening alone.

Trigger “Total factor productivity reflects the state of technology”
“the impact of investment spending on available capital depends on the existing physical capital stock”

Rule next time: Labor productivity growth = capital deepening + TFP growth, so TFP is NOT 'capital deepening plus labor productivity'. The R&D–growth link is not clear-cut in the short run. Investment matters most where the capital stock is small.

Key line: Labor productivity growth = capital deepening + TFP growth.

Mock B · Paper 2 · Q11 You **C** · Answer **A**

Econ

VIGNETTE (RELEVANT PART, UNEDITED)

Team Purple is asked to investigate whether the per capita income of a developing country should converge toward that of developed countries over time. Team Purple reviews various determinants of per capital incomes: saving rate, population growth rate, the shape of production function, and the externalities associated with human capital. After a debate among team members, Team Purple concludes that the externalities associated with human capital is the most important determinant in predicting the occurrence of convergence.

Question 11. Which of the following convergence concepts is most compatible with Team Purple's conclusion?

OPTIONS

A	Non-convergence	✓ Correct	Externalities from human capital (endogenous growth) remove diminishing returns, so rich countries can keep their lead; the model makes no prediction that convergence occurs.
B	Absolute convergence		Incorrect: absolute convergence assumes diminishing marginal returns to capital and the same technology.
C	Conditional convergence	✗ Your pick	Incorrect: conditional convergence also assumes diminishing returns to capital (the neoclassical model).

Trigger “externalities associated with human capital”
“most important determinant in predicting the occurrence of convergence”

Rule next time: Human capital and knowledge externalities = endogenous growth: no diminishing returns, so rich countries keep their lead → NON-convergence. Diminishing returns (neoclassical) → conditional or absolute convergence.

Key line: Externalities → no convergence.

Mock B · Paper 2 · Q12 You **B** · Answer **C**

Econ

VIGNETTE (RELEVANT PART, UNEDITED)

Smith presents the expected impact of removing trade barriers to economic growth. Referring to the neoclassical growth model, Smith concludes that opening up the economy should increase the rate at which countries' capital-to-labor ratios converge. Team Orange is asked to describe the dynamic adjustment process consistent with Smith's conclusion. Team Orange provides the following descriptions:

Description 1: The growth in the capital-exporting countries will be above the steady state.

Description 2: Developed countries will tend to run trade deficits as they export capital.

Description 3: The rate of return on investments will be lower in countries with high capital-to-labor ratios.

Question 12. Which of the following descriptions provided by Team Orange is consistent with Smith's conclusion?

OPTIONS

A	Description 1		Incorrect: growth in the capital-exporting countries will be below the steady state (capital flows out to the capital-poor country).
B	Description 2	✗ Your pick	Incorrect: capital-poor countries run trade deficits while developed countries run trade surpluses as they export capital.
C	Description 3	✓ Correct	Marginal product of capital is lower where capital per worker is high, so returns are lower in high capital-to-labor countries and higher in low capital-to-labor countries.

Trigger “opening up the economy should increase the rate at which countries' capital-to-labor ratios converge” “Description 3: The rate of return on investments will be lower in countries with high capital-to-labor ratios.”

Rule next time: Opening up: capital flows to the low capital-to-labor country (high MPK). The exporter grows BELOW its steady state and runs trade SURPLUSES; the importer grows above steady state and runs deficits. Returns are lower where capital per worker is high.

Key line: High K/L → low MPK → capital leaves.

Mock B · Paper 2 · Q15 You **B** · Answer **C**

PM

VIGNETTE (RELEVANT PART, UNEDITED)

Li uses a two-factor model to analyze the returns of one of the equity portfolios in his fund. He examines how fund returns, RP, are related to surprises in inflation, FINFL, and GDP growth, FGDP, as shown below:

Exhibit 3

Variable	Actual Value (%)	Predicted Value (%)	Factor Sensitivity
Inflation	1.2	0.8	3.0
GDP growth	–3.5	–4.0	0.8

Question 15. Li's two-factor model is best categorized as a:

OPTIONS

A	statistical factor model.		Incorrect: statistical models extract factors (portfolios) from historical returns.
B	fundamental factor model.	✗ Your pick	Incorrect: fundamental factors are company attributes (book-to-price, size, P/E, leverage).
C	macroeconomic factor model.	✓ Correct	The factors are surprises in macroeconomic variables (inflation, GDP growth), so it is a macroeconomic factor model.

Trigger “surprises in inflation, FINFL, and GDP growth, FGDP”

Rule next time: Factors that are SURPRISES in macro variables = macroeconomic factor model; company attributes = fundamental; portfolios extracted from returns = statistical.

Key line: Macro: factor = surprise; fundamental: factor = attribute.

Mock B · Paper 2 · Q16 You **B** · Answer **C**

PM

VIGNETTE (RELEVANT PART, UNEDITED)

Li estimates the expected return of the portfolio to be 1.8% and uses an error term of 0.2%. The actual and expected values of inflation and GDP growth, as well as the estimated portfolio's sensitivities to these factors, are presented in Exhibit 3.

Exhibit 3

Variable	Actual Value (%)	Predicted Value (%)	Factor Sensitivity	
Inflation		1.2	0.8	3.0
GDP growth		–3.5	–4.0	0.8

Question 16. Based on the two-factor model, the return on Li's portfolio is:

OPTIONS

A	1.8%.		Incorrect: this omits the expected return aP (3.0 × 0.4% + 0.8 × 0.5% + 0.2% = 1.8%).
B	2.8%.	✗ Your pick	Incorrect: this uses the actual values instead of the surprises.
C	3.6%.	✓ Correct	RP = 1.8% + 3.0 × (1.2% − 0.8%) + 0.8 × (−3.5% − (−4.0%)) + 0.2% = 1.8% + 1.2% + 0.4% + 0.2% = 3.6%.

Trigger “expected return of the portfolio to be 1.8%”
“Actual Value (%) | Predicted Value (%) | Factor Sensitivity”
Rule next time: R = a + Σ b × (actual − expected) + ε: use SURPRISES, and keep the intercept (expected return) and the error term.

Key line: 1.8 + 3.0 × (1.2 − 0.8) + 0.8 × (−3.5 + 4.0) + 0.2 = 3.6%.

Mock B · Paper 2 · Q18 You **C** · Answer **A**

FI

VIGNETTE (RELEVANT PART, UNEDITED)

Using the spot curve, Li computes forward rates. He then forecasts that in three years the 2-year spot rate will equal 2.20%, the current 2-year spot rate, but that the remainder of the spot rate curve will be consistent with current forward rates. Li evaluates what his forecast implies about the valuation of a 5-year zero-coupon bond today.

Question 18. Given his forecast, Li should consider a 5-year zero-coupon bond today to be:

OPTIONS

A	undervalued.	✓ **Correct**	The forecasted future 2-year spot rate (2.20%) is below the implied forward rate for those last two years, so the bond's cash flows are currently discounted at too high a rate: the bond is undervalued.
B	fairly valued.		Incorrect: a bond is fairly valued only if future spot rates equal today's implied forward rates.
C	overvalued.	✗ **Your pick**	Incorrect: it would be overvalued only if future spot rates exceed the implied forward rates.

Trigger “in three years the 2-year spot rate will equal 2.20%”
“consistent with current forward rates”

Rule next time: If the forecast future spot rate is LOWER than the implied forward rate, today's cash flows are discounted at too high a rate → the bond is undervalued (buy).

Key line: Forecast < forward → undervalued.

Mock B · Paper 2 · Q20 You **A** · Answer **B**

FI

VIGNETTE (RELEVANT PART, UNEDITED)

Li studies the characteristics and effects of yield curve volatility. He uses the 3.25% monthly standard deviation of the 15-year government-bond yield to estimate an annual yield volatility of 11.26%. Li also calculates key rate durations for various maturities. He concludes that the higher key rate durations associated with longer-term rates leads to higher long-term annualized term structure volatility.

Question 20. Are Li's calculation and conclusion related to key rate duration and term structure volatility correct?

OPTIONS

A	Yes	✗ Your pick	Incorrect: the annualized volatility estimate is right but the key rate duration statement is wrong.
B	No, only his annualized volatility estimate is correct	✓ Correct	Annual volatility = 3.25% × √12 = 11.26% is correct. Key rate duration measures price sensitivity to a yield change at one maturity, not how volatile rates are; the volatility term structure typically shows short-term rates more volatile than long-term rates.
C	No, only his conclusion related to key rate duration and term structure volatility is correct		Incorrect: the key rate duration conclusion is the incorrect part.

Trigger "3.25% monthly standard deviation"
"higher key rate durations associated with longer-term rates leads to higher long-term annualized term structure volatility"

Rule next time: Annualise volatility with × √12 (3.25% × 3.464 = 11.26%: correct). Key rate duration is the price sensitivity to ONE maturity's yield; it says nothing about how volatile rates are (short rates are usually more volatile than long rates).

Key line: σ annual = σ monthly × √12.

Mock B · Paper 2 · Q21 You **C** · Answer **B**

FSA

VIGNETTE (RELEVANT PART, UNEDITED)

Option 1: Borrow directly against the receivables of EUR 50 million;

Option 2: Create a special purpose entity (SPE), invest EUR 10 million in the SPE, have the SPE borrow EUR 40 million, and then use the funds to purchase EUR 50 million of receivables from Acme.

McAndrew considers the potential impact of these options on Acme's consolidated debt-to-assets ratio, assuming that Acme will be able to influence the financial and operating policy of the SPE, and will be expected to absorb any losses that the SPE may incur.

Question 21. Acme's consolidated debt-to-assets ratio would most likely be:

OPTIONS

A	lower under Option 1 compared to Option 2.		Incorrect: Acme controls the SPE (influence over policies and exposure to variable returns), so it consolidates it and the balance sheet looks the same as borrowing directly.
B	the same under either Option 1 or Option 2.	✓ **Correct**	Under IFRS 10 / SIC-12, control (influence over financial and operating policy and exposure to variable returns) requires consolidation, so the consolidated ratio is the same under both options.
C	higher under Option 1 compared to Option 2.	✗ **Your pick**	Incorrect: consolidation makes the two options identical on the balance sheet.

Trigger “will be able to influence the financial and operating policy of the SPE”
“expected to absorb any losses”

Rule next time: Power over the SPE's policies + exposure to its losses = control (IFRS 10) → consolidate: the debt is on the consolidated balance sheet, the same as borrowing directly.

Key line: Control → consolidated ratio identical.

Mock B · Paper 2 · Q25 You **C** · Answer **A**

Equity

VIGNETTE (RELEVANT PART, UNEDITED)

Firm A is a rapidly growing automotive parts distributor that has asked Bala to provide an estimated fair value of its common stock. Bala selects the appropriate valuation model based on the following information about Firm A:

The firm's dividend payout ratio has been stable over the last 10 years and is expected to remain stable, regardless of future profitability.

Planned expansion into new markets will require significant annual capital expenditures, which will result in dividends exceeding free cash flow to equity.

Compared with peers, the firm has an aggressive policy with respect to reported earnings, as well as a lower quality of accounting disclosure.

Question 25. Which of the following valuation models is most appropriate for Firm A?

OPTIONS

A	Free cash flow model	✓ **Correct**	Dividends will exceed FCFE because of the expansion capex, which is when a free cash flow model is most suitable.
B	Residual income model		Incorrect: residual income relies on good-quality accounting, but Firm A's disclosure quality is lower and earnings aggressive.
C	Dividend discount model	✗ **Your pick**	Incorrect: the DDM suits stable dividend policies tied to profitability; the stable payout ratio history is not relevant going forward.

Trigger “dividends exceeding free cash flow to equity”
“lower quality of accounting disclosure”
“regardless of future profitability”

Rule next time: Pick the model from the facts: dividends not tied to profitability and above FCFE → free cash flow model; poor accounting quality rules out residual income; a DDM needs a payout policy tied to profits.

Key line: Dividends > FCFE → FCF model.

Mock B · Paper 2 · Q26 You **C** · Answer **B**

Equity

VIGNETTE (RELEVANT PART, UNEDITED)

Firm B is a regional utilities provider. Firm B's current stock price is $19.00 and Bala uses the dividend discount model to value the stock. In Exhibit 1, Bala forecasts Firm B's earnings for the next three years. He assumes a required return on equity of 8% and a 60% retention ratio. By the end of Year 3, Bala expects Firm B's stock price to be $21.50. ValEwe's approach is to consider a stock to be fairly valued if its price is within 2% of its estimated fair value.

Exhibit 1

	Year 1	Year 2	Year 3
Forecasted EPS	$1.27	$1.62	$1.91

Question 26. Based on the dividend discount model, Bala should consider Firm B's common stock to be:

OPTIONS

A	undervalued.		Incorrect: the $19.00 price is only 1.6% above the $18.70 fair value, within the 2% band.
B	fairly valued.	✓ Correct	Payout = 40%: D1 = 0.51, D2 = 0.65, D3 = 0.76. V0 = 0.51/1.08 + 0.65/1.08² + 0.76/1.08³ + 21.50/1.08³ = $18.70. The price of $19.00 is 1.6% above, within 2%, so fairly valued.
C	overvalued.	✗ Your pick	Incorrect: the price is within the 2% band, so the stock is fairly valued.

Trigger “within 2% of its estimated fair value”
“60% retention ratio”

Rule next time: Payout = 1 − retention = 40% (not 60%): D = 40% × EPS; V0 = PV(dividends) + PV(year-3 price); within ±2% of fair value = fairly valued.

Key line: V0 = $18.70; 19.00 ÷ 18.70 − 1 = +1.6% → fairly valued.

Mock B · Paper 2 · Q32 You **A** · Answer **B**

FI

VIGNETTE (RELEVANT PART, UNEDITED)

The fund owns $5 million of a 7-year senior unsecured bond issued by Gonk Industries. Kehoe recommends the fund buy $5 million of credit protection on Gonk using a 5-year CDS. The CDS has a 5-year senior unsecured bond as its reference obligation. Summary data for the CDS are presented in Exhibit 2.

Two months later, a major accounting scandal is uncovered at Gonk and the firm quickly files for bankruptcy. Gonk has three series of bonds outstanding:

3-year subordinated unsecured bonds trading at 20% of par value

5-year senior unsecured bonds trading at 40% of par value

7-year senior unsecured bonds trading at 30% of par value

Question 32. The cash settlement amount for the fund from the Gonk Industries CDS is closest to:

OPTIONS

A	$3,000,000.	✗ Your pick	Incorrect: the reference (5-year) bond is not the cheapest-to-deliver; the 7-year senior bond is.
B	$3,500,000.	✓ Correct	The payout uses the cheapest-to-deliver deliverable of equal or higher seniority than the reference obligation: the 7-year senior unsecured bond at 30%. LGD = 70%; 70% × $5 million = $3.5 million.
C	$4,000,000.		Incorrect: the 3-year bond (20% of par) is cheaper but subordinated, so it is not deliverable.

Trigger “senior unsecured bond as its reference obligation”
“3-year subordinated unsecured bonds trading at 20% of par value”
“7-year senior unsecured bonds trading at 30% of par value”

Rule next time: CDS payout = LGD of the cheapest-to-deliver bond of the SAME or higher seniority than the reference obligation (any maturity); a cheaper subordinated bond is not deliverable.

Key line: Cheapest senior = 30% → LGD 70% × $5m = $3.5m.

Mock B · Paper 2 · Q38 You **A** · Answer **B**

Alt

VIGNETTE (RELEVANT PART, UNEDITED)

Friso compares two publicly traded real estate companies operating in the retail sector, Perpetua Properties, a REIT, and Rainfall Real Estate, a real estate operating company (REOC). Both companies manage portfolios of retail shopping centers and plan to significantly grow their property portfolios by acquiring undervalued assets.

Question 38. Compared to Rainfall Real Estate, Perpetua Properties most likely has:

OPTIONS

A	a higher effective tax rate.	✗ Your pick	Incorrect: REITs are largely exempt from corporate income tax if they distribute income.
B	a higher dividend payout ratio.	✓ Correct	A REIT must distribute 90-100% of taxable income, so it has a higher payout ratio than a REOC, which can retain earnings.
C	greater flexibility to retain earnings.		Incorrect: a REOC, not a REIT, can retain earnings for acquisitions.

Trigger “Perpetua Properties, a REIT”
“Rainfall Real Estate, a real estate operating company (REOC)”
Rule next time: REIT: exempt from corporate tax if it distributes about 90–100% of taxable income → high payout, little retention; REOC: taxable, can retain earnings for growth.

Key line: REIT payout high; REOC flexible.

Mock B · Paper 2 · Q41 You **A** · Answer **C**

Ethics

VIGNETTE (RELEVANT PART, UNEDITED)

During their initial meeting to set up Kagan's account, Dines proposes using Prism's preferred broker to execute trades. Kagan informs Dines that he wishes to trade through another broker that is owned by a friend. Although Dines knows that Prism's preferred broker would provide better execution, without further discussion she agrees to follow Kagan's wishes and use his broker. Additionally, Dines explains that she will not vote any proxies that would not benefit Kagan's account based on a cost-benefit analysis.

Question 41. Does Dines violate the Standards in the initial meeting with Kagan?

OPTIONS

A	No	✗ Your pick	Incorrect: Dines violates Standard III(A) Loyalty, Prudence, and Care by not telling Kagan that his directed broker may not give best execution.
B	Yes, regarding her proxy voting policy		Incorrect: a cost-benefit approach to proxy voting that is disclosed to the client is acceptable.
C	Yes, regarding the broker for Kagan's account	✓ Correct	In a directed brokerage situation the manager must tell the client he may not be getting best execution; Dines did not, violating Standard III(A).

Trigger “Dines knows that Prism's preferred broker would provide better execution”
“without further discussion she agrees to follow Kagan's wishes”

Rule next time: III(A) directed brokerage: following the client's chosen broker is allowed, but you must TELL him it may cost best execution. A disclosed cost-benefit proxy policy is fine.

Key line: Directed broker → disclose possible loss of best execution.

Mock B · Paper 2 · Q42 You **C** · Answer **B**

Ethics

VIGNETTE (RELEVANT PART, UNEDITED)

At a subsequent meeting, Dines informs Kagan of the premium services offered by her firm at an additional cost, which include direct access to senior research professionals. Kagan decides not to purchase the premium services. A few days later Prism publishes a report changing its recommendation on Cromwell Inc., a cybersecurity company, to a sell. Shortly after publication Dines sets up calls for her premium clients to have detailed discussions with the senior analyst who authored the report, but she does not set up such a call for Kagan. The next day, Kagan calls Dines and asks her to buy Cromwell shares for his account. Dines knows that Kagan is an expert in the cybersecurity sector from their previous interactions. She proceeds to place the order, without informing him of the firm's recent recommendation change.

Question 42. Does Dines violate the Standards in her actions related to Cromwell?

OPTIONS

A	No		Incorrect: Dines violated Standard III(B) Fair Dealing by not telling Kagan about the changed recommendation.
B	Yes, because of her actions related to the buy order for Kagan's account	✓ Correct	If a client places an order contrary to a current recommendation, the client should be told of the changed recommendation before the order is accepted. Dines did not tell Kagan the rating had changed to sell.
C	Yes, because of her actions related to setting up calls with the senior analyst	✗ Your pick	Incorrect: fair dealing means not equally; premium clients pay for the calls and the calls came after publication, so there is no violation.

Trigger “Prism publishes a report changing its recommendation on Cromwell Inc., a cybersecurity company, to a sell”
“without informing him of the firm's recent recommendation change”

Rule next time: III(B) Fair dealing: if a client orders against a current recommendation, tell him about the change before accepting the order. Paid premium calls after publication are fine (fair, not equal).

Key line: Order against recommendation → inform first.

Mock B · Paper 2 · Q43 You **C** · Answer **A**

Ethics

VIGNETTE (RELEVANT PART, UNEDITED)

Several months later, Kagan meets with Dines to discuss how his account has performed relative to other accounts managed with the same strategy. Dines creates a performance presentation that shows the past five years of return data for the top and bottom deciles of all Prism accounts managed with the same strategy. The presentation also includes a disclosure stating that the performance is shown before taxes and gross of fees.

Question 43. Dines violates the Standards in her performance presentation for Kagan with regard to:

OPTIONS

A	the account sample only.	✓ Correct	Showing only the top and bottom deciles is not fair, accurate and complete (Standard III(D)); a weighted composite of similar portfolios should be used.
B	the disclosure of taxes and fees only.		Incorrect: the disclosure that returns are gross of fees and before taxes is adequate.
C	both the account sample and the disclosure of taxes and fees.	✗ Your pick	Incorrect: only the account sample is a violation; the disclosure is fine.

Trigger “the past five years of return data for the top and bottom deciles of all Prism accounts” “shown before taxes and gross of fees”

Rule next time: III(D): present a weighted composite of similar portfolios, not selected deciles or accounts; disclosing 'gross of fees, before taxes' is adequate.

Key line: Composite = fair, accurate, complete.